



Deal Clarity Worksheets

Define Your Ideal Owner Experience

PERSONAL / LIFESTYLE GOALS

What do you want your life to look like on a daily basis, and how does buying a business fit into this vision for your life? (Be as specific as possible).

TIMELINE

How much time do you have?

☐

I'm able to be patient and wait 12+ months to find the right deal for me, or do you want this to be a quick acquisition?

☐

I want this to be a quick acquisition and get a deal done ASAP.

CASHFLOW GOALS

How much income are you trying to generate from this (ie, if you're trying to replace your W2, be specific and list that exact amount). List two numbers: your ideal income (target), and the minimum you need to make this deal feasible.

IDEAL ANNUAL CASHFLOW:

MINIMUM ANNUAL CASHFLOW:

FINANCING

How much cash do you have available to invest in your deal?

Ideally, what type of financing do you want to use for this acquisition? (All cash, traditional financing, SBA, Seller Financing, Expertise for Equity, etc).



Deal Clarity Worksheets

Define Your Ideal Owner Experience

CURRENT BUSINESS OWNERS

What type of acquisition are you looking to acquire to complement your business?

☐

Vertical

☐

Horizontal

What are the goals for this acquisition, and how are you looking to support your current business with a deal?

BUSINESS GOALS

How much involvement do you want to have in this business?

☐

I want to be the owner/operator

☐

I want to be the owner and hire an operator (or find a business with an operator already in place)

Does the geographic location matter to you? If so, what geographic region do you want the business to be in?

☐

Yes; I'm looking for a business in these location(s):

☐

No, the location doesn't matter for my deal.

What are your superpowers? What skills or knowledge do you have that would allow you to add value to the business?

What other characteristics or traits are important to you in the business you want to acquire?



Deal Clarity Worksheets

Define Your Ideal Owner Experience

TARGET INCOME

MY DESIRED CASHFLOW:

From your cashflow goal on the first page.

***NOTE:**

Cashflow will need to increase if there's an additional expenses for an operator. When you start seriously evaluating deals, this is something that will need to be added.

DEBT SERVICE

If you are going to use financing, take the total target number above and use the following formula to calculate an approximate number for your debt service:

TOTAL TARGET CASHFLOW X .43 = DEBT SERVICE ESTIMATE

DEBT SERVICE ESTIMATE:

TOTAL CASHFLOW NEEDED

Add your Target Income with your debt service estimate to get your total target cashflow number.

TOTAL TARGET CASHFLOW + DEBT SERVICE ESTIMATE = TOTAL CASHFLOW NEEDED

TOTAL CASHFLOW NEEDED:

This is the most important number to keep in mind as you're looking at businesses.

PURCHASE PRICE RANGE

Take your total cashflow number above and multiply it by 2 and 4 to get an estimated range for the business price you're likely looking at.

TOTAL TARGET CASHFLOW X 2= LIKELY MINIMUM

TOTAL TARGET CASHFLOW X 4= LIKELY MAX

***NOTE:**

Don't focus on the purchase price range when searching for deals. What is most important is the target cashflow number above.